

Earnings Surprise, Firm Valuation, and Market Efficiency: Evidence from China

Corporate Finance Team Project

Team Members: Yingqi Tan, Zhesheng Xu, Hao Yang

FIN803 Corporate Finance

- ▶ Earnings-related disclosures update expectations about future cash flows and should affect valuation.
- ▶ The current goal is not to force a strong pooled headline, but to build a cleaner diagnostic baseline.
- ▶ Tushare Pro lets us test how expectation measurement and match quality affect short-run inference.

Core Question

Do China A-share earnings-related events generate short-run abnormal return once surprise is measured relative to stricter sell-side expectations, and how much do signal scaling and match quality change that inference?

- ▶ Old version: guidance-only proxy design.
- ▶ Current version: Tushare-first diagnostic baseline with explicit event types and explicit match tiers.
- ▶ Final framing now emphasizes identification quality, not a forced positive finding.

New Headline Baseline

- ▶ Headline sample: `preannouncement_only`
- ▶ Headline match tier: `strict_same_quarter`
- ▶ Headline windows: `CAR3`, `CAR5`, `CAR10`, `CAR20`
- ▶ Headline signal comparison: `raw`, `pct`, and `std` in parallel
- ▶ Other event types and relaxed tiers remain supplementary only

Why We Changed the Headline

- ▶ A pooled all-event standardized specification hides important heterogeneity.
- ▶ Preannouncements are cleaner than revisions, express releases, and formal releases for a default headline sample.
- ▶ `main_surprise_std` should be a robustness lens, not the only lens.
- ▶ Match-quality tiers should be explicit rather than silently blended.

Expectation-Matching Ladder

- ▶ `strict_same_quarter`
- ▶ `same_fiscal_year_nearest_valid`
- ▶ `latest_valid_pre_event`
- ▶ `multi_report_median`

Interpretation Rule

The headline baseline uses only `strict_same_quarter`; relaxed tiers are reported separately to show how benchmark construction changes inference.

Focused Diagnostic Package

- ▶ `preannouncement_only` vs `all_event_types`
- ▶ `raw` vs `pct` vs `std`
- ▶ `CAR3`, `CAR5`, `CAR10`, `CAR20`
- ▶ `strict` vs `relaxed` matching tiers
- ▶ minimum analyst coverage thresholds

Recommended narrative

This repository is best viewed as a Tushare-based diagnostic baseline showing how expectation measurement and match quality affect inference, not as a repository claiming strong headline evidence from the current Tushare-only sample.

What Still Survives

- ▶ The cleanest default sample is `preannouncement_only`.
- ▶ The cleanest default tier is `strict_same_quarter`.
- ▶ Raw surprise may still be the best main display spec if it remains the strongest surviving Tushare-only signal.
- ▶ Any surviving evidence should still be described as diagnostic rather than decisive.

Recommendation B

Keep Tushare as the baseline framework, and use the repository to diagnose how inference changes with signal scaling and match quality. Do not claim strong headline evidence without stronger external expectation data.

- ▶ We kept the Tushare-first architecture and narrowed the headline sample.
- ▶ We now compare raw, pct, and std in parallel instead of relying on one standardized headline.
- ▶ We now expose strict and relaxed match tiers explicitly.
- ▶ The repository's main contribution is a cleaner and more auditable diagnostic baseline.

- ▶ Keep the Tushare event architecture and focused diagnostic outputs.
- ▶ Use preannouncement-only strict matching as the baseline comparison set.
- ▶ Add stronger external analyst-expectation data only if the goal is a stronger final headline.